



Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Initiating Coverage@ Dalal&Broacha

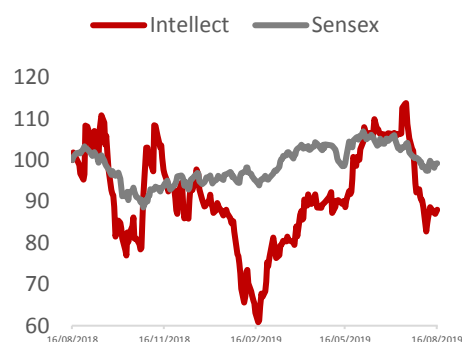
BUY

Current Price	227
Target Price	308
Upside/Downside	36%
52 Week Range	151/292

Key Share Data

Market Cap (Rs.bn)	30.00
Market Cap (US\$ mn)	420.45
No of o/s shares (mn)	131.95
Face Value	5
Monthly Avg. vol(BSE+NSE)	
Nos'000	408
BSE Code	538835
NSE Code	INTELLECT
Bloomberg	INDA:IN

Price Performance



% Shareholding	Jun-19	Mar-19
Promoters	31.47	31.51
Institutions	24.92	22.82
Others	43.61	45.67
Total	100	100

Intellect is a Unique IT based Company in Banking Platform. It is a company offering its products in Corporate Banking, Consumer/Retail Banking and Risk and Treasury management.

Change in Digital Space - One in five banks perform less than one per cent of sales via digital channels. In the digital era, changing regulatory landscape and entry of technology companies—Amazon, Apple, Google, Facebook are queering the competitive pitch of traditional banks and financial institutions globally. In order to revitalize growth on a sustainable basis these institutions are increasing their spending on making their operations digital ready. Internet and mobile reach have rocketed in recent years, with global penetration figures estimated at 42 per cent and 98 per cent, respectively. Increasingly, an end-to-end (E2E) capability spanning and integrating the disparate services of a corporate bank, from lending to trade finance, is a key selection criterion. We believe that going ahead, Financial Services incumbents will have no choice but to digitize operations across verticals (Retail & Corporate Banking) and front-end as well back-end operations. Apart from operational cost savings, advantages such as lower customer acquisition costs also accrue. It is estimated that on an average, customer acquisition costs \$5 per customer through digital means compared to \$300 for traditional banks. As per reports (SEURF), operating expenses as a percent of outstanding loan balance is only 2% for digitally transformed banks versus 5-7% for traditional banks.

Monetization phase of products' lifecycles coupled with strong order backlog to drive revenue growth and profitability - INDA currently has 12 products in its offering. The company completed its product R&D phase in FY17 and began Sales & Marketing development and Monetization phase in FY18. In line with its de-linear business model, EBITDA margins witnessed a major reversal in FY18 from -2.7% in FY17 to +7.2% in FY18. Additionally, order backlog as of Q1FY20 stood at INR 11,280 Mn (which has steadily increased from INR 951 Mn in Q3FY18). We believe that a strong order backlog coupled with a de-linear business model should provide considerable impetus to EBITDA margins.

Customer Retention & Large Deal Wins – The Repeat revenue from existing customers stood at 88% in Q1FY20 as against 70% a few quarters back. Further, Intellect's modules/products offered are easily customizable as per customer's requirement and offer smooth and seamless transition from traditional silo-ed operations to an integrated operating model. The company won 12 large transformational deals in FY19. In the Q1FY20, it won 5 new clients and 2 major deals were signed. The deal funnel stands at healthy USD 508mn with 40 active pursuits. Cloud partnerships with IBM will help scale SaaS revenue, which is of annuity nature and higher margin.

Outlook & Valuation

The company has, over the past few years, prudently fortified its leadership team and devised a geography specific strategy, which is bound to yield profitable growth. With a highly recognized and diversified product portfolio, strong leadership team and marquee clientele, we believe, will lead to INDA clocking revenue (USD) CAGR of 22% over FY19-21E. At CMP, Intellect is trading at 18.7x FY20E and 13.2x FY21E. Intellect is well placed, between the massive opportunity for Fintech penetration in the global banking industry and lack of choice for banks to evolve and digitize themselves. This coupled with strong order book and a delinear business model makes it a compelling **BUY**. We initiate a coverage on the stock with a price target of Rs. 308.

Financials

In INR Mn	Net Sales	% Growth	EBITDA	Margin (%)	PAT	PAT (%)	EPS	Growth (%)	P/E (x)	ROE (%)	ROCE (%)
FY17	9,136	12.7%	-250	-2.7%	-209	-2.3%	-1.7	24%	N.A.	N.A.	N.A.
FY18	10,873	19.0%	787	7.2%	467	4.3%	3.7	N.A.	60.7x	6.7%	6.7%
FY19	14,496	33.3%	1,394	9.6%	1,314	11.2%	10.0	168%	18.4x	17.8%	14.4%
FY20E	16,840	16.2%	2,326	13.8%	1,594	9.5%	12.1	21%	18.7x	14.5%	14.5%
FY21E	20,027	18.9%	3,309	16.5%	2,256	11.3%	17.1	42%	13.2x	17.5%	17.5%

**Analyst Name:** Mayank Babla – 022-67141212**Associate Name:** Tanush Mehta – 022-67141241**Initiating Coverage@ Dalal&Broacha****Market Opportunity**

Globally, Fintech is a \$300 Bn industry, of which IT products contribute \$20 Bn. Product business is expected to grow at a CAGR of 8% to \$30 Bn between FY18 and FY23 with main drivers of growth being (i) Digital Transformation – not a choice anymore (ii) Regulatory Compliance needs and (iii) Evolution of Banking Ecosystem.

Digital Transformation – Not a choice anymore

We believe that going ahead, Financial Services incumbents will have no choice but to digitize operations across verticals (Retail & Corporate Banking) and front-end as well back-end operations. As per reports (SEURF), operating expenses as a percent of outstanding loan balance is only 2% for digitally transformed banks versus 5-7% for traditional banks. Apart from operational cost savings, advantages such as lower customer acquisition costs also accrue. It is estimated that on an average, customer acquisition costs \$5 per customer through digital means compared to \$300 for traditional banks.

Secondly, players will be forced to transform as it will enable them to compete more efficiently and effectively. Digitally transformed players will be able to compete aggressively due to lower costs and it is expected that margins can come down by 10-20% in Payments, 10-20% in Asset Wealth Management and 3-10% in Term Deposits, Mortgages and Consumer Finance. Moreover, with limitations on revenue growth, Banks will need to compete on efficiency. Currently, only a handful of banks have cost to income ratios of <50% and therefore will need to reduce their cost base by 30% to stay competitive. This will be only possible through digital transformation or Robotic Process Automation (RPA) to be more specific.

In line with the above key points and as per EY report - Global Banking Outlook 2018, certain statistics serve as major triggers for Fintech companies:

- 62% of Global Banks expect to be digitally mature by 2020 compared with just 19% in 2018
- 33% of Global Banks expect their technology investment budget to increase by 1-10% and 42% of Global Banks expect Tech spend to increase by 10-20% from 2018 onwards
- 40-60% of Banks prefer purchasing the Technology rather than acquiring a FinTech company and only 37% of the Banks will develop tech in-house
- 70% of Banks will invest in technology to strengthen their competitive positioning and build market share over the next 3 years

While EY's 2018 banking survey revealed that Global Banks (GB) would focus more on digital transformation, the 2019 survey revealed that GBs would deepen their tech presence through investments in Artificial Intelligence, Robotics, Big Data, Cloud, etc.

Key Points from 2019 Report:

- 81% of respondents said Yes to implementing AI / Robotics
- 49% would prioritize Innovation and Income growth through Transformation, an increase from 43% from a year earlier

We believe that all the above mentioned factors should provide considerable impetus to Financial Technology Product makers such as Finastra, Temenos, Intellect Design Arena, TCS (BANCS), Infosys (Finnacle), Oracle etc. More importantly, pureplay IT product companies possess a significant edge over companies that have a mix of services and products as (our interactions have revealed) product companies require a different mindset altogether (in terms of investments, marketing, software development and servicing)



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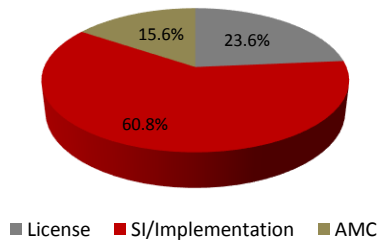
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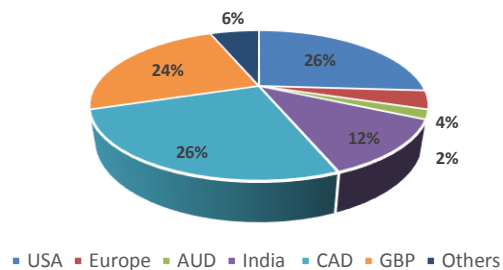
Robust topline growth coupled with turnaround in profitability in FY18 displays strength of monetization phase of its products

Intellect Design Arena's (INDA) revenue is distributed between 1) License Revenues (23.6% of total) 2) Implementation / SI revenues (60.8% of total) and 3) AMC (15.6% of total).

Services wise revenue split (%)

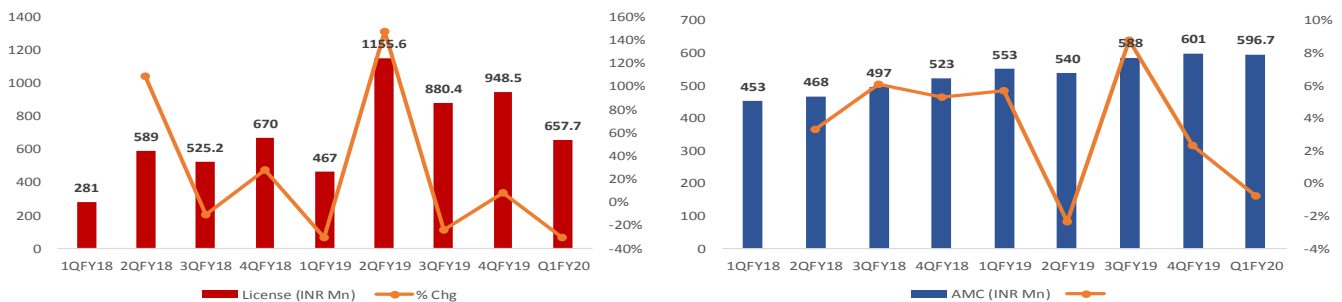


Geography wise revenue split (%)

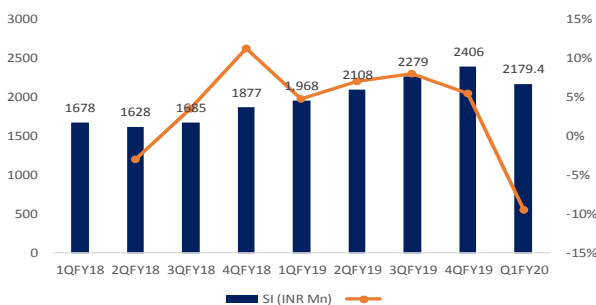


Source – Dalal & Broacha Research

INDA's revenue has grown at an impressive CAGR of 24.62% from INR 6,050 Mn to INR 14,590 Mn between FY15 and FY19. In FY19 alone, the company's topline grew by 36.4% whereas EBITDA grew by a record 144.2% to INR 1485 Mn and PAT grew by 181% to INR 1313.5 Mn. FY18 was the turnaround year for INDA as EBITDA saw a sharp upswing from a loss of INR 250 Mn to a profit of INR 790 Mn and PAT reported a reversal from a loss of INR 223.8 Mn to a profit of INR 567 Mn.



Source – Dalal & Broacha Research



Source – Dalal & Broacha Research

- INDA's License revenue stands at INR 657.7 Mn and has reported an 8 quarter CAGR of 11% between 1QFY18 to 1QFY19
- AMC revenue has grown at an 8 quarter CAGR of 4% between the same period
- Implementation/SI revenue has grown at CAGR of 3% in the same period
- Going ahead, we expect AMC revenues to grow at a higher rate vis-à-vis other verticals as License revenue converts into AMC business

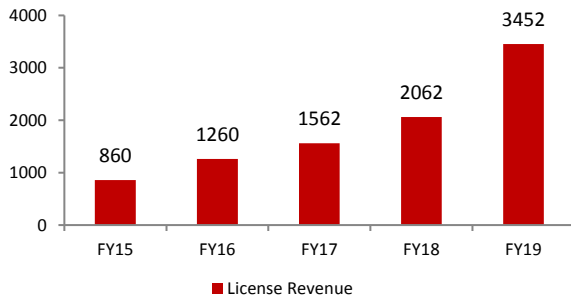


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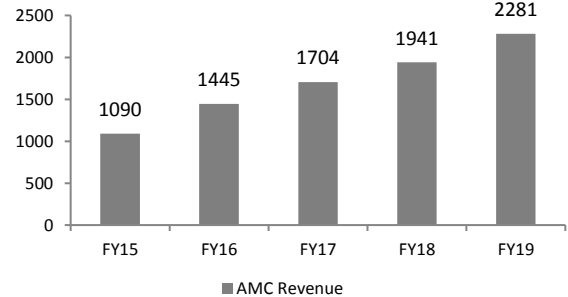
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License Revenue (INR Mn) reported a CAGR of 41.4%



AMC revenue (INR Mn) grew at 20.2% CAGR

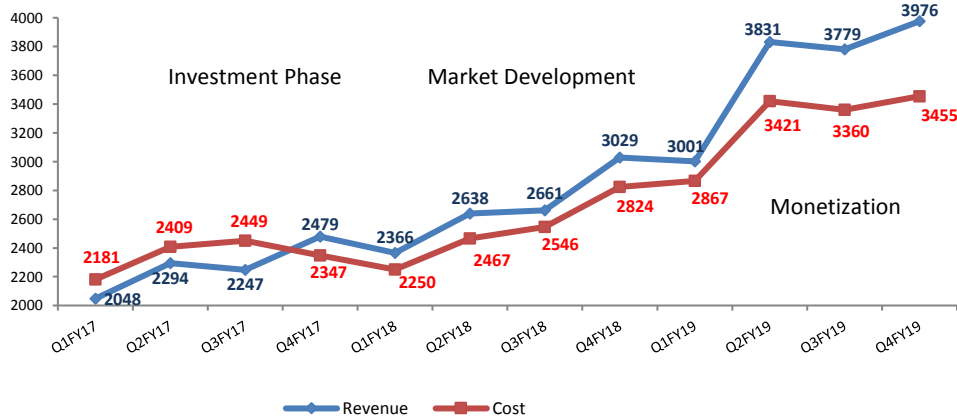


Source – Dalal & Broacha Research and Company Reports

Monetization phase of the product offerings enabled the company to turn profitable

Until FY17, INDIA was in Product Investment phase and Sales & Marketing Development phase. FY18 and FY19 were key years for INDIA as the company entered into monetization phase of its products, which is evident from robust growth reported in License revenue and AMC at 41.4% CAGR and 21% CAGR between FY15 and FY19. Currently, INDIA has 12 products under its umbrella

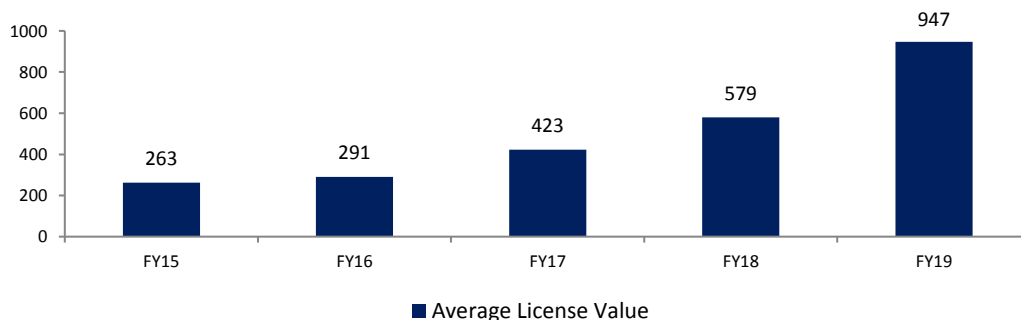
Revenue & Cost Performance through Investment, S&M Development and Monetization Phases (In INR Mn)



Operating leverage kicked in from mid FY18 as monetization phase began. SG&A costs as % of revenue have reduced from 43.6% in FY17 to 31% in FY19 and R&D costs as a % of revenue have come down from 18.9% in FY17 to 14.9% in FY19.

Source – Dalal & Broacha Research

A turnaround in profitability has also been a factor of robust growth in Average License Value, which has grown 4x between FY15 to FY19 from \$263K to \$947K per license. Additionally, a fourfold growth in average license value also indicates the monetizing strength of Intellect's products.





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Addressable Market and Growth Opportunity

Transaction Banking

Intellect 1.0

Intellect delivered on its vision of Intellect 1.0 of strong double digit revenue growth and profitability. As of Q1FY20, INDA has managed to bag 249 customers. As of FY18, INDA had implemented an average of 2.4 products per customer and a market share of 6.6%. Under, **Intellect 2.0**, INDA plans to increase the tally of total number of customers to 150 with an average of 4 products per customer and market share of 20% by FY21.

As per the company, the opportunity is 300 customers with 10 products per customer and 26% market share; the company plans to achieve this target through penetration into existing and new geographies and cross-selling to existing clients. Other strategies include offering products on cloud through partnerships with IBM cloud, AWS and Blockchain.

Core Banking

Core Banking packaged solution industry is approximately \$10 Bn and growing at 10-12% per annum. INDA's iGCB solution caters to this market, which can be a huge opportunity going ahead.

INDA's Core Banking Solution (see image below) consists of Digital Core 19.1 and Quantum Core 18.1. Within the Digital Core 19.1, INDA offers following solutions: Digital Core Solution, Digital Face, Digital Cards and Lending Suite. This solutions offer end to end transformation for commercial and central banks.



Source – Dalal & Broacha Research and Company Reports

New capabilities under INDA's digital core (IDC) include offerings such as (i) Presence across digital channels such as Amazon Alexa, Ai Chatbot, Digital LOS, Digital Collector, Card Self Service apps, CBX 18c, etc. (ii) Modules which include Big Data, Analytics, Product Configurator and Pricing Engine.

Focus Areas for FY20

- Intellect Digital Core (IDC) 19.1
- Government e-Marketplace
 - Digital Treasury
 - Risk Analyst

Focus Areas for FY21

- Xponent
- Digital Distribution Suite
 - Digital Wealth
 - Capital Alpha

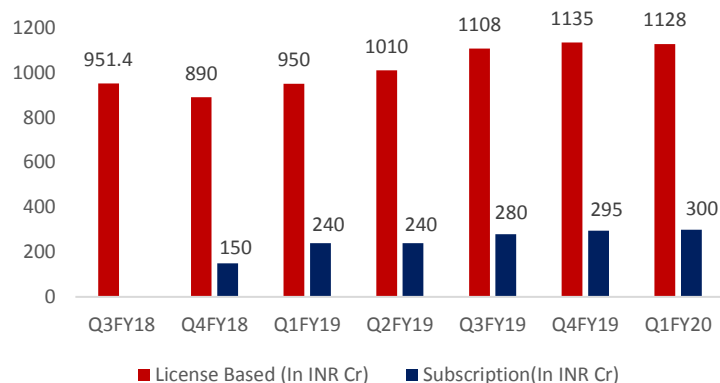


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Initiating Coverage@ Dalal&Broacha**Order Backlog**

As of Q1FY20, the order backlog stands at INR 11,280 Mn for Licensing, Implementation and AMC business. Additionally, the company has an order backlog of INR 3,000 Mn in Cloud Deals and INR 4,000 Mn in the Government e-Marketplace project.

Order Backlog for License Based segment and Subscription based segment...

Q4FY19 Active Pursuits	Won	Lost	Added	Q1FY20 Active Pursuits	Remarks
6	0	0	1	7	>INR 50 Cr each
14	1	1	2	14	INR 30-50 Cr
19	2	2	5	20	INR 20-30 Cr

Source – Dalal & Broacha Research and Company Reports

INDA has 40+ High value active pursuits in the quarter (see image on the right above). 7 pursuits are worth approximately 50 Cr each, 14 pursuits worth INR 30-50 Cr each and 20 pursuits worth INR 20-30 Cr each. While License wins are booked immediately, Implementation revenues are billed as per percentage of completion and typically take 4-8 quarters to complete. AMC revenues begin usually 2 years after license wins.

Focus on Client Mining more than Client farming

INDA currently has approximately 20 customers contributing INR 420 Mn each, which implies that Top 20 clients contribute 57.5% to topline. Management has stated that going ahead, focus will be on client mining, that is higher wallet share vis-à-vis client addition. Additionally, management is confident of delivering 20% YoY topline growth and increasing Gross Margin from current levels of 52% to 60% by FY21. Correspondingly and as per management's experience, EBITDA margins should expand to 25% from current level of 13%.



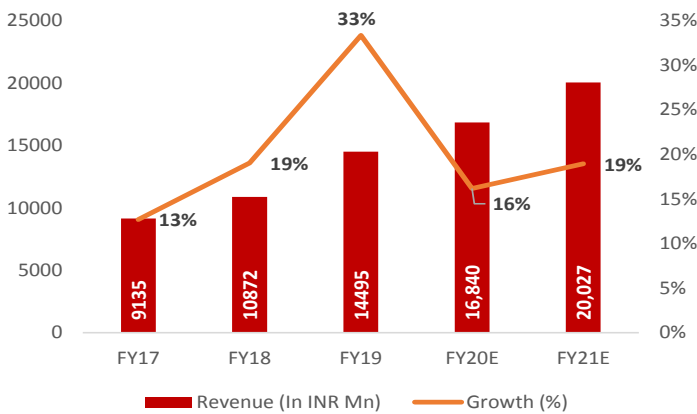
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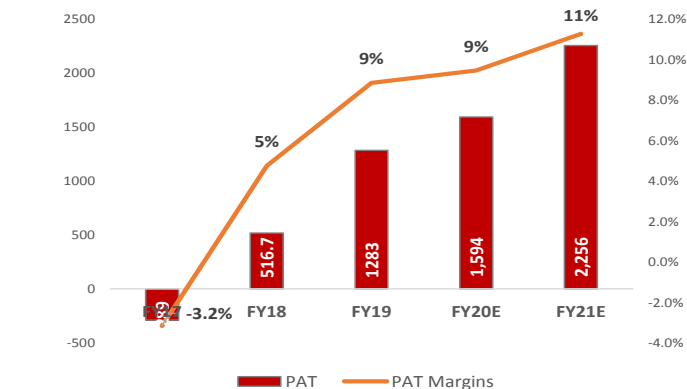
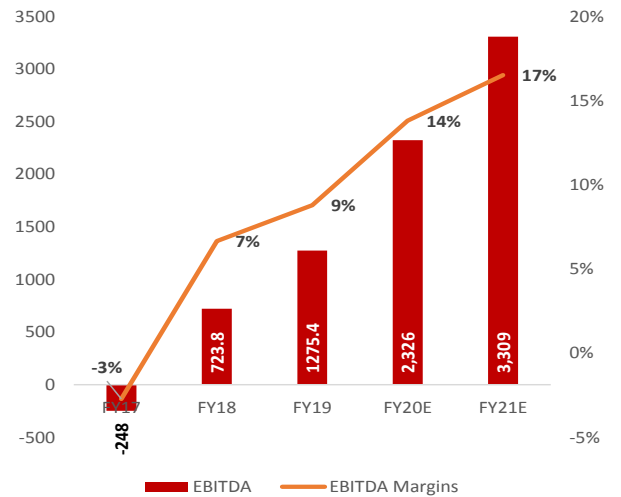
Financials

Revenue & Revenue Growth (%)



Source – Dalal & Broacha Research and Company Presentation

EBITDA and EBITDA Margin (%)



Source – Dalal & Broacha Research and Company Presentation

Valuation & Outlook

The company has, over the past few years, prudently fortified its leadership team and devised a geography specific strategy, which is bound to yield profitable growth. With a highly recognized and diversified product portfolio, strong leadership team and marquee clientele, we believe, will lead to INDA clocking revenue (USD) CAGR of 22% over FY19-21E. At CMP, Intellect is trading at 19.7x FY20E and 13.9x FY21E. Intellect is well placed, between the massive opportunity for fintech penetration in the global banking industry and lack of choice for banks to evolve and digitize themselves. This coupled with strong order book and a delinear business model is a compelling **BUY**. We initiate a coverage on the stock with a price target of Rs. 308 i.e 18x FY21E EPS.



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Peer Comparison

Company Name	Revenue	EBITDA	EBITDA%	PAT	PAT%	EPS	ROE	ROCE	P/E
Temenos (In USD Mn - CY18)	846.7	359.046	42%	169.15	20%	2.96	19%	19%	37
OFSS (In INR Mn - FY19)	49590	21450	43%	13860	28%	161	29%	46%	19
Intellect (In INR Mn - FY19)	14496	1394	10%	1618	11%	12.3	18%	14%	19

Source: D&B Research, Bloomberg

On perusal of the above comparison, it is highlighted that **Oracle Financial Software Services(OFSS)** and **Temenos** have a higher EBITDA margin (%) and PAT margin (%) as compared to that of Intellect, mainly because both companies are far ahead in the Maturity stage of their product lifecycle (ie they are way past their investment and product development phase). The products that, OFSS and Temenos offer are well established to the markets, thereby having high proportion of AMC in their revenue mix making it margins accretive. Oracle's FLEXCUBE was introduced in 1997 (by erstwhile Citicorp Information Technology Ltd., which later was renamed as i-flex solutions). In contrast, INDA has started monetizing majority of its products over the last 2 years and therefore in a growing product company, License revenue grows faster in early stages and converts into AMC eventually. Therefore, in the future years, profitability will grow faster compared to the topline.

Secondly and more notably, Temenos has mainly grown inorganically with over 12 acquisitions in as many years. OFSS, albeit to a lesser extent, also grew inorganically, with the acquisition of Sun Microsystems in the 90's and i-flex solutions in 2005. Intellect has developed all its products in-house and markets it organically as well.

Revenue Mix	OFSS	Intellect
License	12%	23%
Implementation/Consultation	57%	60%
AMC	31%	17%



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BACKGROUND

ABOUT THE COMPANY

Intellect Design Arena Ltd, a specialist in enabling true Digital Transformations, is the world's first full spectrum Banking and Insurance technology products company, across Global Consumer Banking (iGCB), Central Banking, Global Transaction Banking (iGTB), Risk & Treasury Management (iRTM), and Insurance (Intellect SEEC). Intellect is the brand; progressive financial institutions rely on the company for digital transformation initiatives. With over 200 implementations, the company's performance is driven by over 3,000 Intellect solution architects, domain and technology experts, with a presence in major global financial hubs around the world and fully supported by design centres in multiple geographies serving as centres of innovation, collaboration and digital transformation

Product Offerings

Global Consumer Banking (iGCB) (approx. 25% of total revenue)

iGCB spans across the entire consumer banking spectrum from Retail Banking, Private Banking to Capital Markets and Asset Management. In iGCB, Intellect is targeting Asia-Pacific (APAC) as the main market as banks in the developed market are highly dominated by large software companies. Under this area, they offer two products Digital core 19.1 and Quantum core 18.1. Under Digital core 19.1 it provides core banking, lending suite and card management solution and under Quantum core 18.1 it provides real time risk management facilities. These products deals with end to end digital transformation for commercial and central banks. Currently, Global consumer banking is valued at \$10 billion and is estimated to grow at 10-12%. This product made intellect won many key projects of various Top Banks in countries like Australia, UK, Kenya and UAE. In the recent period the win ratio has been 80%. Competitors for iGCB are Temenos (T24), Infosys (Finacle) and Oracle Financial (Flex cub).

Global Transaction Banking (iGTB) (approx. 50% of total revenue)

iGTB provides full spectrum, fully integrated products that run in over 79 financial institutions, across 90 countries. Customers opt for iGTB as Intellect is the only player with modern, contextual banking individual modules with tier 1 bank depth for Advanced, Mature Markets and an integrated Digital Transaction Banking offering for Growth Markets. It has added customers like CITI Bank, Barclays Bank, JP Morgan Chase, HSBC etc. It offers products like Digital Transaction Banking (DTB), Digital (CBX), Payment Services Hub (PSH), Liquidity Management Solution (LMS), and Trade Finance and Supply chain Finance (TSC). Intellect is having 6% market share and targets 20% market share by FY 21. Currently, approx. 50% of the revenue comes from this product. In the recent period the win ratio has been 69%. In the Middle East, 70% banks use the company's products.

Risk & Treasury Management (iRTM)

iRTM, the Risk, Treasury & Capital Markets arm of Intellect, covers the comprehensive suite of products to address the requirements of banks and capital markets participants. With over 76 implementations in 70+ countries, iRTM provides comprehensive suite of solutions, to address the requirements in treasury, liquidity risk and capital markets domain. This product helps in monitoring the liquidity exposures, manage balance sheet volatility, maintain the capital buffers and comply with a slew of regulatory requirements. 'Capital Cube', an integrated treasury & ALM solution, that aids the treasurer to strategically manage the balance sheet, adapt to regulatory regimes, optimize liquidity and leverage risk to maximize profits for the bank. Competitors for iRTM are Mysis, SunGard and Murex.

Insurance

Intellect SEEC provides differentiated solutions in Claims, Life Claims, Distribution, Underwriting Work Station, Business Apps and Components. The geographical focus for this product comprises the developed markets like US and UK. Under this vertical, Intellects products provides contextual risk assessment, allows underwriters, brokers and risk specialists to collaborate, and improves data quality on agency submitted proposals to help deliver; friction free underwriting, increasing renewal retention and reduced underwriting leakage. Further, using this the underwriting time has been reduced by approx. 70% resulting in higher economies of scale for insurance companies. Competitors for Intellect SEEC are Guide-wire and Fineos.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY17	FY18	FY19	FY20E	FY21E
Total Revenue	9,136	10,873	14,496	16,840	20,027
Growth %	13%	19%	33%	16%	19%
Less:					
Software development expenses (SI	4,633	5,490	7,372	8,296	9,850
SG&A	3,956	3,872	4,727	4,793	5,242
R&D	796	724	1,004	1,425	1,626
Total Operating Expenditure	9,385	10,087	13,102	14,514	16,718
EBIDTA	-250	787	1,394	2,326	3,309
Growth %	-8%	-415%	77%	67%	42%
Less: Depreciation	241	265	416	607	693
EBIT	-491	521	978	1,719	2,615
Growth %	2.4%	-206.2%	87.7%	75.7%	52.1%
Interest Paid	113	138	114	134	139
Non-operating Income	358	204	509	362	320
Extraordinary Income	0	0	304	0	0
Profit Before tax	-246	587	1,677	1,947	2,797
Tax	28	70	89	238	420
Net Profit before Minority	-275	517	1,587	1,709	2,378
Minority Interest	-66	49	-31	115	121
Net Profit	-209	467	1,618	1,594	2,256
Adjusted Profit	-209	467	1,314	1,594	2,256
Growth %	24%	-324%	181%	21%	42%
Reported Diluted EPS Rs	(1.7)	3.7	12.3	12.1	17.1
Adjusted Diluted EPS Rs	(1.7)	3.7	10.0	12.1	17.1

Key Ratios (Consolidated)						
YE March (Rs. mn)	FY16	FY17	FY18	FY19	FY20E	FY21E
Key Operating Ratios						
EBITDA Margin (%)	-3.4%	-2.7%	7.2%	9.6%	13.8%	16.5%
Tax / PBT (%)	34.3%	-11.5%	12.0%	5.3%	12.2%	15.0%
Net Profit Margin (%)	-2.1%	-2.3%	4.3%	11.2%	9.5%	11.3%
RoE (%)	-2.7%	-3.4%	6.7%	17.8%	14.5%	17.5%
RoCE (%)	-2.7%	-3.4%	6.7%	14.4%	14.5%	17.5%
Current Ratio (x)	1.6x	1.8x	1.7x	1.7x	1.6x	1.6x
Dividend Payout (%)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Book Value Per Share (Rs)	49.3	47.7	63.9	77.4	89.5	106.6
Financial Leverage Ratios						
Debt/ Equity (x)	0.0x	0.4x	0.2x	0.1x	0.1x	0.1x
Interest Coverage (x)	-22.8x	-2.2x	5.7x	12.2x	17.4x	23.9x
Growth Indicators %						
Sales Growth (%)	33.2%	12.7%	19.0%	33.3%	16.2%	18.9%
EBITDA Growth (%)	(66.2%)	(8.2%)	N.A.	77.2%	66.9%	42.2%
Net Profit Growth (%)	(79.8%)	24.4%	N.A.	246.1%	(1.5%)	41.6%
Diluted EPS Growth (%)	(79.8%)	24.4%	N.A.	181.1%	21.3%	41.6%

Valuation Ratios					
YE March (Rs.)	FY17	FY18	FY19	FY20E	FY21E
P/E (x)	-135.7x	60.7x	18.4x	18.7x	13.2x
P/BV (x)	4.7x	3.5x	2.9x	2.5x	2.1x
EV/EBIDTA (x)	-117.7x	35.8x	21.4x	12.9x	9.0x
EV/Sales	3.2x	2.6x	2.1x	1.8x	1.5x
Market Cap./	3.1x	2.6x	2.1x	1.8x	1.5x

Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY17	FY18	FY19	FY20E	FY21E
Liabilities					
Equity Capital	509	628	659	659	659
Reserves & Surplus	5,475	7,392	9,538	11,132	13,388
Equity	5,983	8,019	10,197	11,791	14,047
Preference Share Capital					
Net Worth	5,983	8,019	10,197	11,791	14,047
Minority Interest	0	100	90	206	327
Net Deferred tax liability/(Ass	-113	-156	-442	-442	-442
Other LT Liabilities	1	1	2	2	2
Total Loans	2,324	1,287	1,007	1,007	1,007
Capital Employed	8,195	9,251	10,855	12,564	14,942
Assets					
Gross Block	4,554	5,206	6,206	6,543	6,935
Less: Depreciation	2,549	2,814	3,230	3,837	4,530
Net Block	2,005	2,391	2,976	2,706	2,404
Capital WIP	1,383	1,963	2,277	3,892	5,545
Investments	383	472	524	524	524
Goodwill	773	348	364	364	364
LT Loans & Advances	789	1,200	1,366	1,684	1,958
Current Assets					
Sundry Debtors	2,048	2,412	2,027	2,768	3,218
Current Investments	312	207	156	156	156
Cash and Bank Balance	1,315	1,509	929	828	1,135
Loans and Advances	64	53	65	84	98
Other Current Assets	2,658	2,902	5,187	5,260	6,115
Total Current Assets	6,398	7,082	8,364	9,096	10,722
Less: Current Liabilities & Provisions					
Sundry Creditors	994	1,166	1,664	1,830	2,073
Provisions	294	321	427	505	587
Other Current Liabilities	2,246	2,717	2,926	3,368	3,915
Total Current Liabilities & Provisic	3,535	4,205	5,017	5,704	6,576
Miscellaneous Assets					
Capital Applied	8,195	9,251	10,855	12,564	14,942

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY17	FY18	FY19	FY20E	FY21E
PAT	(209.1)	467.5	1,617.8	1,593.6	2,256.2
Less: Non Operating Income	(357.6)	(204.3)	(509.0)	(361.7)	(320.4)
Add: Depreciation	241.4	265.3	415.6	607.1	693.5
Add: Interest Paid	113.0	138.3	114.4	133.7	138.7
Operating Profit before WC Chang	(277.9)	716.2	1,304.3	1,972.7	2,767.9
(Inc)/Dec in Current Assets	(658.2)	(490.1)	(1,862.3)	(832.8)	(1,318.0)
Inc/(Dec) in Current Liabilities	365.7	670.0	812.4	686.8	871.9
Net Cash From Operations	(570.4)	896.1	254.3	1,826.7	2,321.8
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(298.5)	(651.9)	(1,000.6)	(336.8)	(391.5)
(Inc)/Dec in Capital Work In Pr	(727.6)	(579.7)	(314.0)	(1,615.9)	(1,652.2)
(Inc)/Dec in Investment (Strate	(72.5)	(88.9)	(52.9)	0.0	0.0
(Inc)/Dec in Investment (Other	98.7	(410.9)	(166.3)	(318.3)	(273.6)
Add: Non Operating Income Inc	357.6	204.3	509.0	361.7	320.4
Cash From Investing Activities	(636.7)	(1,102.7)	(736.7)	(1,909.3)	(1,996.9)
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	2,094.6	(1,036.7)	(279.7)	0.0	0.0
Inc/(Dec) in Reserves & Surplu	2.0	1,568.3	560.4	0.0	0.0
Less: Interest Paid	(113.0)	(138.3)	(114.4)	(133.7)	(138.7)
Net Cash from Financing Activitie	1,904.0	350.5	(119.0)	(133.7)	(138.7)
Net Inc/Dec in cash equivalents	696.9	143.9	(601.4)	(216.3)	186.2
Opening Balance	552.0	1,314.5	1,508.8	928.5	827.7
Closing Cash and Cash Equivalent	1,248.9	1,458.4	907.4	712.2	1,013.9



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